

approaches that of Coca-Cola and IBM. Heinz's deep red ketchup bottles can be found in millions of homes alongside Ore-Ida french fries and Lea & Perrins Worcestershire sauce. In 2012, the company reported \$11.6 billion in revenue with a majority of sales coming from Europe and the rapidly expanding emerging markets. "It's our kind of company," said Buffett.⁵⁵

Tenet: Consistent Operating History

Eighteen years before the pharmacist John Pemberton invented the formula for Coca-Cola, Henry J. Heinz was packing foodstuffs in Sharpsburg, Pennsylvania. The company first began selling horseradish sauce in 1869 but turned to tomato ketchup in 1876. Henry Heinz bought out his two partners in 1888 and renamed the company H.J. Heinz Company. The company's famous slogan "57 varieties" was introduced in 1896. It is said Henry Heinz was riding an elevated train in New York City one day when he spotted a shoe store that claimed it had "21 styles." Heinz picked the number "57" at random but selected the number "7" specifically because of its positive psychological influence. Buffett noted that 1869, when Heinz was started, was the same year his great-grandfather Sidney founded a grocery store.

Tenet: Favorable Long-Term Prospects

Heinz is number one in ketchup globally and second in sauces. The future of Heinz depends on not only maintaining its market share leadership but also positioning itself in the rapidly growing emerging markets. Here Heinz is well positioned. The company bought Foodstar of China in 2010 and an 80 percent stake in Brazilian Coniexpress SA Industrias Alimeticias in 2011. Today, emerging markets account for seven of the company's top 10 markets. Already, the value of Foodstar in China has doubled.

How important are emerging markets to Heinz? Over the past five years, these rapidly growing markets have accounted for over 80 percent of the company's sales growth. In fiscal 2012, 21 percent of revenue came from emerging markets; estimates for fiscal year 2013 are for close to 25 percent. According to CEO William Johnson, the company's organic growth rate in emerging markets is among the best in its peer group.